

THE COMPANION SERIES

The Strategy Companion

TURNING COMPETING OBJECTIVES INTO
DECISIONS YOU CAN DEFEND



Adriaan Bosch

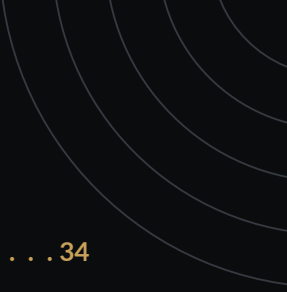
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Contents

Purpose and Use	4
The Day Everyone Agreed	5
The Crux	5
Part One: What Strategy Is	7
The Position	7
Two Kinds of Limit, and Why the Difference Matters	7
Three Seats, and Only One of Them Is Yours	8
Where Strategy Hands Over	8
What This Rests On, and Where I Depart from It	9
One Question That Changes the Shape of Everything	9
The Worked Example	10
Part Two: The Seven Conditions	11
Condition 1. Context Shapes the Strategy	11
Condition 2. Strategy Begins with Diagnosis	11
Condition 3. Tension Must Be Explicit, and Correctly Classified	12
Condition 4. Direction Must Exclude	13
Condition 5. Direction Must Be Permitted, Not Only Possible	14
Condition 6. Evidence Must Inform, Not Decide	14
Condition 7. Strategy Must Survive Stress, or Say How It Will Change	15
What the Seven Prevent	15
Part Three: Building the Framework	16
The HOW Layer Is Where Strategy Reaches Delivery	16
The Loop Is the Part Most Methods Leave Off	17
Four Ways the Order Gets Broken	17
Three Kinds of Claim, Inside One Layer	18
How the Work Actually Runs	18
Confidence and Durability Are Different Properties	19

The Handover: a Decision Note	19
Northgate: Decision Note, Abbreviated	21
Part Four: The Ten Gates	22
Gate 1. Has Context Shaped This?	22
Gate 2. Is the Diagnosis Specific and Credible?	22
Gate 3. Is the Tension Visible, and Correctly Classified?	22
Gate 4. Has Direction Been Chosen?	22
Gate 5. Can Somebody Else Use the Direction as a Governing Rule?	22
Gate 6. Has the Boundary Held?	23
Gate 7. Does It Survive Stress, and Say How It Changes?	23
Gate 8. Are Both Clocks Declared?	23
Gate 9. Is the Organisation Entitled to Do This, and Who Says So?	23
Gate 10. Can It Be Stated Plainly?	24
Which Gate Traces to Which Principle	24
What the Gates Do Not Test	25
How to Use Them	25
Northgate at the Gates	25
Part Five: Implementation, Using SMEAC	27
S. Situation	27
M. Mission	28
E. Execution	28
A. Administration and Logistics	29
C. Command and Signal	29
How the Decision Note Becomes the Order	30
Rehearse Before You Publish	30
Why This and Not a Workstream Plan	31
Part Six: Holding the Line	32
The Boundary	32
Shelf Life	32
Evolve, Do Not Erode	33
A Last Test	33



The Eight Moments	34
Embedding	35
Adoption: One Real Decision First	35
Governance: Deciding Where the Note Lives	35
Assurance: Rehearsal Before Publication	35
Capability: What People Have to Be Able to Do	35
Maturity: What Good Looks Like Later	36
Terminology	37
Annexure A: The Decision Note	39
Annexure B: The Gate Review	40
Annexure C: The Eight Moments	41
Annexure D: The Order	44
Annexure E: The Erosion Audit	45
Further Reading	46
Contact and Continuation	46

Purpose and Use

This Companion supports decision-making where legitimate objectives compete. It is for the moment when two good things pull against each other, somebody has to choose, and then has to hold the choice against people who would prefer a different one.

How This Companion Should Be Used

This document is decision support, not instruction. It is not:

- a checklist to be worked through mechanically,
- a method that produces a direction on its own,
- or a substitute for the judgement of the person accountable for the outcome.

Nothing here decides anything. It tests a direction that judgement has already produced, and it names what is missing when one has not been produced yet.

How It Is Laid Out

Six parts carry the argument, in the order the work usually arrives: what strategy is, the seven conditions, building the framework, the ten gates, implementation, and holding the line. Then the eight moments, embedding, and the terms used. The annexures are the instruments, one page each and meant to be used.

The Live Pages

Some diagrams carry a small paperclip beside them. Each paperclip holds a working version of that diagram, carried inside this PDF, so it needs no website and no internet.

They open in Adobe Acrobat Reader, which is free: double-click the paperclip and allow it when Acrobat asks. In other viewers, including Mac Preview and most phones, the page reads as it would in print. Nothing in the Companion depends on the live pages.

Contextual Assumptions

This Companion cannot determine what is appropriate. It assumes organisational context, leadership intent and operational reality have been considered first. Without those, no guidance of any quality produces a defensible outcome, and the reader remains accountable for what they decide with it.

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Final Note

If nobody argued, nothing was decided.

This Companion exists to keep choices deliberate, explainable, and able to survive the person who made them.

The Day Everyone Agreed

I have sat through a lot of strategy days. From inside the room, the good ones and the bad ones can look almost identical. It took me years to understand what separates them.

The bad version goes like this: twelve people, two days, a facilitator, a wall of coloured paper. By the afternoon of the second day, there is a document with five pillars and a vision statement. Everybody signs it. The room is warm. People say it was the most useful thing they have done all year, and they mean it.

A year later, nothing has changed.

For a long time, I assumed those days failed because the thinking was weak. Better analysis, sharper tools and more rigour, I thought, would produce an output that held. I was wrong. The evidence had been in front of me all along.

Nobody had argued.

Not once in two days had anyone said: if we do that, I lose my team.

Nothing in the document took anything away from anyone. There were five pillars; everybody's work was included; every budget remained intact. That was why the room was warm. It was also why nothing changed.

If nobody argued, nothing was decided.

This document comes out of that observation. It is for people who have to construct the framework that governs decisions in their organisation: not the plan itself, but the standing logic that helps people decide which way to lean when they cannot have both.

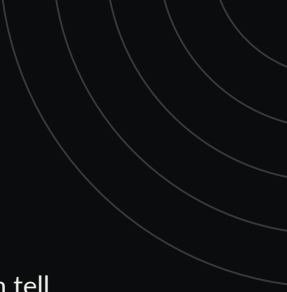
My experience comes from physical security in the built environment, where trade-offs are unusually visible and the cost of avoiding them becomes apparent quickly. The underlying logic is not specific to security, though. It applies wherever legitimate objectives compete, which is to say, in most organisations.

Three ideas in particular came from that background, and I am not sure I would have found them in a business strategy text. First, some environments contain an opponent who adapts to your choices. That changes what a strategy can honestly claim. Second, confidence and durability are different properties, and both need to be declared. Third, advising on risk and owning it are different jobs: a distinction security tends to take seriously and other disciplines can blur.

Stated plainly, because Gate 10 below says I should be able to do so: organisations know how to exclude, but often choose not to, because exclusion always has a named loser. This is a framework for making that decision, testing whether it is really a decision, and recording it clearly enough that it still governs when nobody is watching.

The Crux

Frameworks like this are often written as though the obstacle were understanding. I do not think it is.



Most experienced people can already distinguish a strategy from a list of initiatives. Ask them privately, perhaps over a drink, what the real tension in their organisation is, and they will often tell you in one sentence. They know.

The constraint is that exclusion is expensive for a named individual.

Direction becomes real when something is ruled out. Then somebody loses a budget, headcount, a product line they built, or a number their bonus is measured against. That person is in the room. They are often senior, and they are often right that the loss will hurt.

So the group produces a document in which everything remains a priority, everyone keeps their scope, and the decision is handed to the operating environment. It will make the choice eventually, but usually later and less well.

Three things follow from this.

The purpose of the apparatus is not to make a difficult decision correct. It is to make an uncomfortable decision defensible. A stated diagnosis, a named tension and a recorded exclusion give the person who loses something an account of why. That account may be the only thing that makes the loss survivable within an organisation. Without it, someone is being asked to absorb a cut on the strength of a slide.

The room matters at least as much as the method. A framework run by people who cannot lose anything is likely to produce a document that nobody resists, and nobody follows.

Finally, a written strategy has to survive the renegotiation that begins the day after approval. That is what Parts Five and Six are for, and why they are longer than they may initially appear to need to be.

Where an organisation genuinely lacks the analytical apparatus, what follows should help supply it. Where it does not, the apparatus may be serving another purpose. It is worth knowing which situation you are in before you begin.

Part One: What Strategy Is

The Position

Strategy is the deliberate articulation of intent that governs how decisions are made when legitimate objectives pull in different directions.

By intent, I mean the specific condition an organisation is trying to bring about. Not an aspiration, a slogan or a description of activity, but a condition clear enough to guide a choice and to test whether that choice is working. “Grow the business”, “improve security” and “put the customer first” may all be worthwhile ambitions. They do not yet tell people what will change, what success will look like, or what they are prepared to give up to achieve it.

Intent does.

It gives decisions a destination.

Strategy is how that intent is made real when the organisation cannot have everything it wants. It establishes the direction to take, the limits to hold, and the things that will be deferred, declined or ruled out. The decisions are its expression. The intent is what makes them cohere.

That is the whole of it. Not a plan, not a roadmap, not a list of initiatives, not a set of targets. All of those sit downstream, and all of them are easier to write, which is why they keep turning up in strategy’s place.

The strategic process is the work of reaching and testing those decisions: the diagnosis, the analysis, the argument and the judgement. Tactics are the programmes, budgets, projects and changes that carry the decisions into the world. Both matter. Neither is strategy.

The test is blunt. If it can be done without deciding what to protect, what to refuse, or which legitimate objective must yield, it belongs downstream. It is a consequence of strategy, not strategy itself. Strategy is the choice that makes one course necessary and another unacceptable.

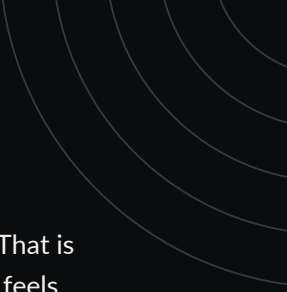
Two Kinds of Limit, and Why the Difference Matters

Every decision of consequence runs into two constraints, and I have watched people confuse them for twenty years.

Operational constraint is what is practically achievable. Cost, time, capability, infrastructure, people.

Legitimacy constraint is what is acceptable. Law, consent, ethics, public expectation, what the organisation can be seen doing and still recognise itself.

Inability and inadvisability are not the same condition. Something you cannot afford this year may be perfectly sensible next year. Something you should not do does not become sensible when the money arrives.



Collapse the second into the first and a strategic question quietly becomes a budget question. That is how organisations talk themselves into decisions they later cannot defend, and it almost never feels like a moral choice at the time. It feels like arithmetic.

Three Seats, and Only One of Them Is Yours

Much of what follows assumes you can rule something out. A lot of readers cannot. They advise somebody who can, and the difference matters enough to be precise about.

There are three roles here, not two, and they get confused because two of them often sit in the same person.

The **adviser** owns the advice: the diagnosis, the named tension, the recommended direction, and an honest account of what each option costs.

The **risk owner** accepts the residual consequence. They are entitled to overrule the advice and to carry an exposure the adviser would not.

The **permission holder** says whether the organisation may do this at all. That seat is frequently outside the organisation altogether: a regulator, a licensing authority, a court, a board that has made a commitment in public, sometimes the people who will live with the result. A risk owner can accept exposure. They cannot grant themselves permission, and an organisation that behaves as though they can is one bad week away from discovering the difference.

The framework works from the adviser's chair, with one change. When the decision-maker declines to exclude, that is not a failure of the analysis and it should not be argued away. Record it as an acceptance. This was the direction recommended, this is what was not ruled out, this is the consequence that follows, and this is who accepted it. A recorded acceptance outlives a persuasive paper, because it survives the personnel change.

An adviser who softens a recommendation to make it acceptable has taken on the risk without the authority. That is the worst seat in the building.

Where Strategy Hands Over

Strategy does not end when delivery begins. But its job changes.

Strategy establishes intent, draws the edges and records the exclusions. Delivery works within those edges. Its task is to turn direction into action: to plan, allocate, adapt and solve the problems that appear on the way.

Delivery will reveal things the strategy could not have known. Costs change, assumptions fail, conditions move. That evidence may require the strategy to be reconsidered. But reconsideration is not the same as quiet revision.

The handover needs to be clear enough that people can tell the difference between executing a decision and reopening one. Planning may optimise within the direction agreed. It may surface the cost of that direction. It should not redraw the edges because redrawing them is convenient.

When the evidence is material enough to challenge the original choice, the decision must return to the strategic process: the intent restated, the tension reconsidered, the exclusion made explicit again, and the right person asked to own the consequence.

Strategy may evolve. It must do so in the open.

Everything else is drift, and drift rarely announces itself.

What This Rests On, and Where I Depart from It

Four writers do a lot of the work here. I am naming them because you should know whose logic you are borrowing, not to lean on their authority.

Richard Rumelt is the one I return to most. His argument is that good strategy opens with a diagnosis of the problem rather than an aspiration about the future, and that bad strategy skips straight to goals. The four layers in Part Three are his kernel with the order enforced. Where I go further than he does is the crux above: he treats the missing diagnosis as an intellectual failure, and I think it is usually a political one.

Michael Porter draws the line between strategy and operational effectiveness. Doing the same things better is improvement. Choosing to do different things, and refusing some outright, is strategy. Condition 4 is his point with the comfort taken out.

Henry Mintzberg is the useful sceptic. He warns against mistaking tools for insight and prediction for interpretation, and he insists strategy emerges through practice as much as it is planned in a room. That is why the framework in Part Three loops back on itself instead of ending in a document.

Bob de Wit and Ron Meyer give strategy three dimensions: Process, how it is made; Content, what it says; and Context, where it applies. Most frameworks, including my own first attempt at this one, address Content and call it finished. They also supply the classification of tensions in Condition 3, which is the part of their work I have found does the most practical good and the part most often skipped.

One Question That Changes the Shape of Everything

Some environments contain an opponent.

A competitor, an adversary, a regulator under political pressure, a dominant customer, an activist investor. Anyone who watches what you choose and adapts because of it.

Where that is true, the problem will not sit still. Your measure changes the environment, the environment changes your measure, and a strategy built on a snapshot begins ageing the day it is signed. Where it is not true, in a market shaped mainly by demographics or infrastructure or weather, analysis carries a great deal further before it needs revisiting.

Working out which of the two you are in is the first piece of honest work, and it is expensive to get wrong in both directions. Treat a reactive opponent as a fixed condition and you will be outmanoeuvred by something you profiled correctly a year ago. Treat a stable environment as adversarial and you will pay for permanent vigilance against nothing.

The Worked Example

Everything from here on has an organisation attached to it, because a framework nobody can picture is a framework nobody uses. Northgate is invented, and built from a shape common enough that most readers will find something of their own in it.

Northgate Foods. Family-owned chilled food manufacturer in Yorkshire, six hundred staff, the largest employer in its town. Seventy-eight per cent of revenue comes from supermarket own-label production. The remaining twenty-two per cent is Northgate's own brand, which carries roughly three times the margin and is the only part of the business with a future the family controls.

One supermarket accounts for forty-one per cent of revenue. That contract renews in eleven months, and the renewal on the table carries a category exclusivity clause: for the three-year term, Northgate's own brand may not sit in that category on that supermarket's shelves.

The family board has said publicly that it will not fund growth through redundancies.

Northgate has an opponent, which makes it the harder case and therefore the more useful one. The buyer watches. If the brand grows in that category, the buyer can move the own-label volume to a competitor, and has done it to others.

Part Two: The Seven Conditions

Seven conditions have to be present before I will call something a strategy. Where they are absent, what you have may well be planning, analysis or design. All three are useful. None of them is strategy.

They constrain reasoning, not procedure. They say nothing about how you get there. They say only what has to be true when you arrive.

Condition 1. Context Shapes the Strategy

The approach is fixed to the context it serves. A regional retailer, a hospital trust and a defence contractor are not the same problem at three different intensities. They differ in what counts as the asset, who the opposition realistically is, and which consequence actually matters. Those differences come before every other question.

Here is the test. Could this strategy be lifted into a different organisation and still read as sensible? If it could, context has done no work, and what you are holding is a set of platitudes with a logo on the front.

Northgate. The asset is not the brand and not the factory. It is factory utilisation, because the line economics collapse below a volume threshold only own-label can currently fill. Read the asset as “the brand” and every judgement after it is wrong.

Condition 2. Strategy Begins with Diagnosis

Say why the problem is hard here, in this organisation, under these constraints. If a competitor could write the same paragraph about themselves, you have not diagnosed anything.

The diagnosis has to justify itself in context too. Why this direction, here, given this governance, this history and this operational reality? Without it, direction has nothing to anchor to, and what looks like strategy is a statement of preference with evidence attached.

A diagnosis that names only a market condition is almost always incomplete. The ones that work name the internal reason the obvious answer has not already been taken. That is usually where the crux is hiding.

Northgate. The weak diagnosis is that over-reliance on own-label depresses margin. True, and you could write it about two hundred other manufacturers.

The real diagnosis is that the volume keeping the factory viable is also the volume that can be withdrawn to punish the brand. The person who would have to accept a smaller own-label book is the commercial director who built it over fifteen years and whose bonus is set on it. The obvious answer has not been taken because nobody has been willing to make him the loser.

Condition 3. Tension Must Be Explicit, and Correctly Classified

Strategy exists where legitimate objectives collide. Growth against margin. Speed against quality. Openness against control. Cost against resilience. Notice that every one of those pairs is a pair of good things.

If no structural tension is named, the work describes a condition rather than forming a direction. If optimisation looks possible across every objective at once, you have not started yet.

Most problems carry more than one tension. The structural tension is the one the others hang from: settle it and the rest move with it; settle one of the others and the structural one stays where it was. It is the tension the diagnosis names, and settling it costs a named person something. Asking why, until the answer is something the organisation chose or cannot change, is usually how you get from the tension people first name to the structural one underneath.

Naming the tension is half the job. The other half is deciding what kind of tension it is. This matters because different tensions require different responses.

A **puzzle** has an answer that exists and can be found. More evidence, better analysis or technical expertise should close it.

A **dilemma** requires an either-or choice. One legitimate objective is preferred and the cost of the other is accepted.

A **trade-off** offers a range of possible balances. The work is to decide where on that range to stand, and what degree of loss is acceptable on each side.

A **paradox** cannot be resolved by choosing one pole or finding a stable midpoint. Both sides remain necessary and in tension. The work is to find a workable reconciliation, knowing that it will need attention again.

Force a paradox through a dilemma's logic and you get a confident strategy that has thrown away something the organisation cannot do without. Control against chaos is a paradox. So is deliberate planning against emergent practice, which this document sits on: Part Three has a learning loop, while Part Five hands down a fixed intent.

Kind	What it is	What it wants
Puzzle	One right answer, currently unknown	Analysis. Not a strategic question, though it often arrives dressed as one
Dilemma	Two options, one must be chosen, the other is genuinely lost	A decision, and an honest account of what is lost
Trade-off	Two poles with a range between them	A stated position on the range, and the reason for that position rather than a neighbouring one

Kind	What it is	What it wants
Paradox	Both poles are true at once and neither can be given up	Synthesis. Hold both, reconcile them in context, and accept that the arrangement is unstable and needs tending

The live version classifies your own tensions one at a time, helps you answer each question, asks why until you reach the structural one, and runs Northgate as a worked case.



 **Double-click the paperclip to open the live version**
 Opens in Adobe Acrobat Reader. Allow it when Acrobat asks.

One qualification. Some tensions are settled outside the organisation before they ever reach you: by regulation, a parent company, a licence condition or a public commitment. Spotting a pre-resolved tension is a finding in its own right, and stating it satisfies this condition. Inventing a tension the environment has already settled does not.

Northgate. Read as a dilemma, own-label against brand, the answer is to exit own-label. It kills the company.

Read properly, it is a paradox. The volume funds the capability the brand needs, and the brand threatens the volume. Both poles stay. The reconciliation is a capped own-label book, held at a share the brand can survive losing.

Condition 4. Direction Must Exclude

Strategy becomes visible at the moment something is ruled out.

While every option stays open, nothing has been chosen. Guardrails are set by what will not be pursued, never by what is encouraged, because encouragement costs nothing and commits nobody.

This is what fixes the edges of the map before anyone starts drawing routes on it. Where you will compete and where you will not. What good enough means under strain. Which objective yields when both cannot be met.

On a paradox, the exclusion is not one of the poles. It is the behaviour that would collapse the paradox into one pole, and it needs naming with the same precision.

Northgate. The exclusion is no new own-label contract carrying category exclusivity. At any volume, at any price.

That is a real loss. It puts forty-one per cent of revenue into a renewal the company may not win, and it lands on one named director. Nothing else in the strategy costs anybody anything, which is how you know this is the part that counts.

Condition 5. Direction Must Be Permitted, Not Only Possible

Condition 4 says what you will not do. This one asks what you may not do. It is a different question, with a different answer, decided by a different person.

Necessity is settled inside the organisation. Permission is settled outside it: by law, by consent, by what the people affected will accept, and by commitments the organisation has already made in public. The two get run together because both arrive as a no, and a no feels like a no whichever direction it came from.

The test is one question with a sting in it. Name who grants permission, then ask whether they would recognise the account you have given of what you are doing. If the account you give them and the account you give internally are two different accounts, permission is being managed rather than held, and everyone involved already knows it.

A direction that is operationally sound and not permitted is not a strategy. It is a liability with a plan attached.

Northgate. The family board has said publicly that growth will not be funded through redundancies. That is not an operational constraint. Northgate could make redundancies tomorrow, and the numbers would work.

It is a permission the family has already spent, publicly, and it is not the managing director's to take back. Which is exactly why it belongs in the strategy. When the renewal goes badly, somebody will propose redundancies, reasonably, with a spreadsheet, and they will be right on every figure.

Condition 6. Evidence Must Inform, Not Decide

SWOT, PESTEL, scenario planning, risk models, maturity assessments, market analysis and benchmarking: every one of them can sharpen perception. Not one of them chooses a direction.

When a tool produces the outcome before intent has been articulated, analysis has quietly replaced strategy. The symptom is easy to spot once you know it: a strategy whose conclusion you could predict from its method alone, without reading a single finding.

Before the tool question, though, there is a prior one that almost nobody asks. What kind of question is this?

Some questions have an answer that exists now. What the utilisation actually is. How many incidents occurred last year. What the contract says. Get the information and the question closes.

Others have no determinable answer yet, because they turn on decisions nobody has taken. What the buyer will do at renewal. Whether this site will be attacked. Collection cannot close that kind of question. It can narrow uncertainty, reveal patterns and establish consequences. It cannot remove the need for judgement.

Pointing a collection method at an unknowable question produces volume, a convincing sense of progress, and the quiet consumption of the budget that judgement needed.

Naming the kind of question first is what stops a tool being reached for where no tool was ever going to work. It is also the more honest answer when somebody asks for more analysis: sometimes more analysis is not what is missing.

Condition 7. Strategy Must Survive Stress, or Say How It Will Change

If conditions tighten, budgets shrink or a competitor moves first, does the governing logic still hold?

This does not mean the answer must remain unchanged whatever happens. A strategy that cannot learn is no more useful than one that cannot hold. The question is whether the conditions that would reopen the decision have been named in advance, and whether reopening it returns the issue to the strategic process rather than allowing delivery to revise it by convenience.

A direction that changes merely because pressure arrives was a preference. A direction that changes because a stated assumption has failed is being governed.

Northgate. The stress test that matters is simple. The buyer offers a twenty per cent volume uplift, conditional on dropping the brand from the category for three years. That offer is pressure, not new information. If it changes the answer, the strategy was a preference, and everyone in the building will find out inside the year.

A material fall in factory utilisation below the level assumed in the diagnosis would be different. That would reopen the strategy. The intent, the tension, the exclusions and the permission would need to be considered again, openly, by the people entitled to make the decision.

What the Seven Prevent

Between them, these conditions stop strategy decaying into a collection of initiatives, a compliance summary, a risk register written as prose, or a delivery plan in disguise. Each of those is a real document with a real job.

None of them governs a decision.

Part Three: Building the Framework

Four layers. Each answers one question, and the order is where the discipline lives.

Layer	Question it answers
WHY	What condition are we trying to create, what is it weighed against, what level of ambition is appropriate, and what will we refuse?
WHAT	What conditions, competitors, capabilities, dependencies and credible scenarios must that intent address?
HOW	What strategic approach will achieve the intended position: which capabilities, operating choices, routes to market, structures and principles of allocation must hold?
PROVE	Does the resulting arrangement achieve what the WHY layer said it should?

Then the return: what did the outcome show that the analysis did not, and is it material enough to reopen the intent, direction or exclusion?

The HOW Layer Is Where Strategy Reaches Delivery

Intent gives a strategy its destination. The HOW layer says how the organisation intends to get there.

It is not a delivery plan. It does not name the project team, the workstream, the meeting cadence or the date in the diary. Those things matter, but they sit downstream.

The strategic HOW names the mechanism. It says which capabilities will be strengthened, which dependencies will be reduced, where resources will be concentrated, which operating choices will hold, and what the organisation will stop doing in order to make room.

It should be specific enough that people can tell whether a proposed action serves the strategy or merely fits beside it.

For Northgate, the intent is to preserve a viable, independently controlled brand without collapsing factory utilisation. The strategic HOW is not “launch a foodservice project”. It is to reduce the supermarket’s leverage by capping own-label exposure, preserve the line hours the factory needs, and build brand volume in channels where that buyer does not control access.

The projects, account plans, distribution arrangements and investment decisions that follow are delivery. They are important because strategy that never becomes operational is only theory. But they should be judged against the strategic approach, not allowed to invent one.

The Loop Is the Part Most Methods Leave Off

Decisions produce outcomes. Outcomes produce evidence. That evidence should sharpen the next decision rather than settling into a closed report nobody reopens.

Without the loop, the method is a straight line ending in a document, and a document is a snapshot. With it, the method is a system that gets less wrong over time. That is a lower ambition than being right, and a far more achievable one.

Not every outcome reopens the strategy. Most will improve delivery, challenge an estimate or refine the WHAT layer. A strategy is reopened when the evidence challenges the diagnosis, the intent, the exclusion or the strategic HOW itself.

The distinction matters. Learning is not permission for delivery to redraw direction by convenience. A change to strategy should be deliberate, recorded and made by the people entitled to own its consequences.

Four Ways the Order Gets Broken

1. Starting with HOW

This is the familiar failure: a solution, tool, programme or technology arrives before there is an agreed reason for it.

The organisation begins with something it knows how to do and then works backwards to find a problem deserving it. The result may be competent delivery. It is not strategy.

2. Starting with WHAT

This one is more subtle, and I have seen it done by very capable people. Findings from an audit, a penetration test or a market study arrive carrying the authority of evidence, and it is tempting to let them set direction.

They cannot.

They can measure a direction against something. They can expose a constraint, challenge an assumption or narrow the available choices. But if intent has not been stated, they will be read as direction they were never built to carry.

3. Starting with PROVE

A measure is selected before the intended outcome is clear, and then the work quietly reorganises itself around whatever can be counted.

The result is a target with activity attached. It may improve the measure. It does not necessarily achieve the intent.

What can be measured is not always what matters most. That is why the question of proof comes after direction, not before it.

4. Treating HOW as the End

The organisation agrees an approach, launches the work and assumes the strategy is complete.

It is not. Delivery produces evidence about whether the approach can achieve the intent. Without PROVE and the return loop, the organisation has no disciplined way to learn from that evidence. It has only the next planning cycle, where the same assumptions are usually copied forward.

Three Kinds of Claim, Inside One Layer

The WHAT layer gathers conditions, competitors, capabilities, dependencies and scenarios, and treats them as one body of evidence. They are not one thing. They are three, and they do not carry equal weight.

Description says what is. A count, a measurement, a clause in a contract. It can be checked, and if it is wrong somebody can show you.

Explanation says why. It is a theory about cause, and a good theory is still a theory.

Estimate says what comes next. It is a judgement, it is the weakest claim in the set, and it is almost always the one carrying the most weight in the room.

Assessments slide from the first to the third without ever marking the move. A count of incidents becomes a reason for them and then a forecast of more, and at no point did anybody announce that the ground had changed underneath the sentence. By the end, it all reads as evidence.

Marking which is which costs a word per finding. It is the cheapest honesty available in the whole method.

How the Work Actually Runs

The layers tell you what order the questions come in. They do not tell you how the work gets done, and a reader holding only the layers will book a workshop, which is the wrong instrument.

Who convenes it. The person who will accept the residual consequence. Not the strategy function, not a consultant. If that person will not convene it, you have your first finding, and it is a significant one.

Who is in the room. Four to six people, and everyone present must be able to lose something. A room of people with nothing at stake will produce a document nobody resists, which reads as consensus and is actually indifference.

How long it takes. Three sessions, not one away-day. Diagnosis, then tension and direction, then test. At least a week between them, because the gaps are where evidence gets fetched and where positions quietly change. A single workshop produces whatever the most confident person in the room believed that morning.

What counts as evidence. Every load-bearing claim carries a confidence mark and a durability mark, described below. Anything nobody can source is marked as an assumption and stays visibly marked, all the way into the final document. Assumptions are fine. Assumptions wearing the clothes of findings are not.

What happens to disagreement. Record it, do not average it. If two people read the diagnosis differently, that disagreement goes into the written Situation as a finding, because it will resurface

under pressure and it is much cheaper to have it on the page. Averaging two positions produces a third that nobody actually holds and nobody will defend.

Who writes it. One person. Committee drafting produces balance, and balance is precisely what Condition 4 forbids.

Confidence and Durability Are Different Properties

Two questions, and they do not move together.

Confidence asks how well founded a finding is. Durability asks how long it stays true. A competitor benchmark is high confidence and low durability: accurate the day it was taken, stale within a quarter. A named structural tension rests on judgement and may hold for a decade.

Declare only confidence and you quietly reward the past, because the past is the only thing that can be demonstrated. A framework that rewards the past will produce rear-view decisions in a forward-looking organisation. Navigating by a recording of the road behind you works right up until something changes, and in any environment worth writing a strategy for, something always does.

So both properties get declared for every input that carries weight.

The Handover: a Decision Note

Everything above is preparation. None of it is a decision, and a method that produces an impeccable basis and no decision has produced a report on somebody's desk. I have written a few of those. They are very good and they change nothing.

The handover is one page, written for the person who decides rather than the person who analysed. Not a summary of the work. The smallest thing anybody needs in order to act.

Field	What it carries
The decision	What is being decided, in one sentence. Not the topic: the choice
The intent	The specific condition the organisation is trying to create, and what it is protecting or refusing
The recommendation	The position taken, and why this level rather than less or more
The strategic HOW	The mechanism by which the intent will be achieved: the approach, capabilities, operating choices and boundaries that must hold
What bears on it	The two or three findings that actually change the answer, each marked as settled or unsettled
Confidence and durability	How well founded the recommendation is, and how long it can be expected to hold

Field	What it carries
Decision horizon	By when this has to be decided, what closes the window, and what is lost by deciding late rather than wrongly
If nothing is decided	What follows from deferral, since deferral is a decision and is almost never presented as one
Review trigger	When the decision gets reopened, and what change would force it sooner
Who	Who recommends, decides, accepts, permits, implements and reviews

Two of those fields do quiet work and are worth pausing on.

Marking a finding settled or unsettled takes one word and prevents a specific confusion. A settled finding has an answer that exists: the utilisation figure, the contract term. An unsettled one does not, because it turns on a decision nobody has taken. Both belong in the note. What they must not do is sit there looking identical, because a reader skimming for the confident sentence will take the settled one and build on it, and the unsettled one was the one that mattered.

This also rescues the confidence line. An unsettled finding answered well is low confidence, and that is not a defect in the work. Without the marking, the format makes it look like one, and an analyst who notices will drift towards the questions they can close rather than the ones that decide the answer.

The decision horizon is the field most often missing, and its absence gets expensive fast in any environment containing an opponent. A well-founded decision that arrives after the window has closed has exactly the value of no decision, and it cost considerably more to produce.

Accuracy and timeliness are separate goods.

Measure only the first and you will reliably produce the second failure, while everyone congratulates themselves on the rigour.

Two things about the horizon are easy to get wrong.

It is set by whatever is moving against you, not by your calendar. A date in the diary is a deadline, and deadlines are comfortable because you control them. A horizon is how long you have before the other side's position changes and your options close. Where the two differ, the diary is the wrong one and always the more attractive.

And it does not licence haste. A decision taken fast on a misread situation is worse than a slow one, because it carries you further from where you should be before anybody notices. Where the diagnosis is genuinely unsettled, the honest move is to say so and name what would settle it, not to hit the date with a guess wearing the clothes of a position.

One page is the constraint, and the constraint is the point. Anyone who has to read forty pages to find the choice will make the choice without reading them.

Northgate: Decision Note, Abbreviated

The decision: whether to accept category exclusivity in the renewal, or refuse it and accept the risk to forty-one per cent of revenue.

The intent: preserve a viable, independently controlled Northgate brand without pushing factory utilisation below the level at which the business remains viable. No growth funded through redundancies.

The recommendation: refuse exclusivity. Cap own-label at sixty-five per cent of line hours rather than exiting it.

The strategic HOW: use own-label to preserve the factory capacity the brand needs, while reducing the supermarket's leverage by taking the brand into foodservice and symbol-group convenience, where this buyer has no control of access.

What bears on it: the exclusivity term runs for three years, longer than the brand's runway: settled, it is in the draft contract. The factory is unviable below roughly sixty per cent utilisation: settled, it is in the accounts. The buyer will move volume to a competitor if the brand grows in the category: unsettled, and no amount of work will settle it, because it is a decision they have not taken.

Confidence and durability: moderate confidence, since foodservice volumes rest on two pilot accounts and the buyer's response cannot be known. High durability, since the structural position holds for at least the renewal cycle.

Decision horizon: the diary says four months, because negotiation opens in month five. The buyer's clock says less. They can qualify and transfer this volume to a competitor in roughly ten weeks, so from the moment Northgate's intent becomes visible the window is ten weeks wide, not four months. The horizon is set by whichever clock runs faster, and it is theirs.

If nothing is decided: the commercial team will negotiate for volume, because that is what they are measured on, and exclusivity will be conceded as a term rather than taken as a decision.

Review trigger: reopen the strategy if factory utilisation falls materially below the level assumed in the diagnosis, or if the alternative channels cannot demonstrate credible volume within the agreed period. Do not reopen it merely because the buyer offers more volume for exclusivity.

Who: recommended by the strategy group; decided and accepted by the managing director; permitted, on the redundancy question, by the family board, which has already given its answer in public. Implementation is jointly owned by the commercial and operations directors. The managing director reviews the position at each material change in utilisation, alternative-channel volume or buyer behaviour.

Part Four: The Ten Gates

Ten gates, and they test one thing: whether the work is genuinely strategic or has drifted into planning, design or recommendation. Run them before approval, before publication, and before anyone starts planning against it.

Failing a gate is not a failure. It is clarity, and at this stage it is cheap.

Gate 1. Has Context Shaped This?

Pass: the strategy could not be lifted into another organisation and still read as sensible. The asset, the opposition and the consequence that matters are specific to this place.

Fail: the document would work unchanged for a competitor.

Gate 2. Is the Diagnosis Specific and Credible?

Pass: the core problem is explicit and contextual, and it explains why the obvious answer has not already been taken. The direction came from judgement about the problem rather than from whatever the analysis happened to produce.

Fail: the text opens with goals; the problem could belong to anybody; the difficulty is implied rather than argued; or the conclusion was reached before intent was ever stated.

Gate 3. Is the Tension Visible, and Correctly Classified?

Pass: at least one unavoidable tension is stated plainly, and its kind is named. Where a tension has been settled externally, that is named as a finding.

Fail: harmony is implied and optimisation looks possible across everything at once.

Also a fail, and much harder to spot: a paradox has been resolved by picking a pole, so the document reads as decisive while having discarded something the organisation cannot do without.

Gate 4. Has Direction Been Chosen?

Pass: direction is explicit, something is ruled out, and you can name who loses by it.

Fail: the language stays balanced and every option remains open. If nothing in the document costs anybody anything, nothing has been decided.

Gate 5. Can Somebody Else Use the Direction as a Governing Rule?

Pass: a person who was not in the room can use the direction to make a later decision under pressure. They can see what the strategy is trying to achieve, what matters when objectives compete, and what must not be traded away.

Fail: interpretation depends on the author, or application varies case by case because the document offers principles without a rule for using them.

A strategy that only works in the hands of the people who wrote it is not yet governing anything.

Gate 6. Has the Boundary Held?

Pass: the document states the strategic HOW: the capabilities, operating choices, routes, structures and principles of allocation through which the intent will be achieved. It does so without becoming a project plan.

Fail: the strategic approach has been replaced by tasks, sequencing, specifications, budgets, workstreams or a timetable. Or the document tells people what to build without saying which governing choice it serves.

The test is not whether something could be drawn, bought, scheduled or installed. Strategy may require all of those things. The test is whether they remain consequences of the strategic choice, rather than becoming strategy in its place.

Gate 7. Does It Survive Stress, and Say How It Changes?

Pass: the direction still governs when resources tighten, pressure rises or the opposition moves. The document also states what evidence would reopen the decision, and who is entitled to do so.

Fail: the answer changes because an attractive offer or immediate pressure arrives. Also a fail: the strategy claims it will never change, whatever the evidence shows.

A direction that changes merely because pressure arrives was a preference. A direction that changes because a stated assumption has failed is being governed.

Gate 8. Are Both Clocks Declared?

Pass: the document states how long the direction can be expected to hold, what would reopen it, and by when the decision itself has to be made before the window closes. The horizon is set by what is moving against you rather than by the diary.

Fail: it presents as permanent with no account of what would make it wrong; or it carries no horizon at all and will be overtaken while still being refined.

The two clocks measure different risks. A sound direction with no shelf life ages silently inside an authoritative-looking document. A sound direction with no horizon arrives after the negotiation, the funding round or the competitor's move.

This gate is not an argument for haste, and it should not be read as one. Speed on a wrong orientation is the most expensive mistake in the set.

Gate 9. Is the Organisation Entitled to Do This, and Who Says So?

Pass: the direction has been tested against law, consent, public expectation and commitments already made; the party who grants permission is named; and the account given to them is the account given internally.

Fail: permission is assumed, or nobody can say who grants it.

The harder fail is the second one. When the internal justification and the external one are two different documents, permission is being managed rather than held, and the gap between them is the measure of the problem.

This gate is not asking whether the organisation will get away with it. See what the gates do not test below, because the two are confused constantly.

Gate 10. Can It Be Stated Plainly?

Pass: this is the intended condition; this is the problem; this is the tension and what kind it is; this is the direction we have chosen; this is how we intend to achieve it; this is what we have ruled out; and this is who said we may.

Fail: clarity requires a preamble.

Which Gate Traces to Which Principle

Gate	Principle it tests
1. Context	Condition 1: context shapes the strategy
2. Diagnosis	Condition 2, and Condition 6: diagnosis comes before tools and tools inform rather than decide
3. Tension	Condition 3: both the naming and classification of tension
4. Direction	Condition 4: direction must exclude
5. Governing rule	Condition 4 made usable: direction must be expressed so it can govern later choices
6. Boundary	The distinction between strategic HOW and delivery, established in Parts One and Three
7. Stress	Condition 7: direction survives pressure and has declared triggers for reconsideration
8. Clocks	Confidence and durability, together with the decision horizon
9. Entitlement	Condition 5: direction must be permitted, not merely possible
10. Plain statement	Expression rather than substance: whether the strategic logic can be stated without disguise

Where a gate has no principle behind it, it is a preference dressed as a test. Where a principle has no gate, it goes unchecked. The mapping is what keeps both lists honest, and I would rather lose a gate than keep one that answers to nothing.

What the Gates Do Not Test

The gates do not certify deliverability. A strategy can pass all ten and still be beyond the organisation's present capability or capacity to carry out. That is a real failure, but a different one. Deliverability is examined through the WHAT and HOW layers: what capability exists, what has to be built, what dependencies remain, and whether the strategic approach is credible.

The gates also do not ask whether people will welcome the direction.

Political acceptance is a prediction about whether the people carrying the cost will wear it. That belongs in the decision note: who accepts the decision, what they lose, and what follows if nobody does. It should be named, but it is not a test of whether the direction is strategic.

Gate 9 asks a different question. Legitimacy is a standard about whether the organisation is entitled to act at all. A direction can be wholly legitimate and politically impossible. It can also be popular and impermissible, and the second combination is the one that ends careers.

The first is a fact about the room. The second is a fact about the direction.

How to Use Them

Apply them in order. When a draft fails early, do not compensate with more content. Go back to intent. More content never replaces missing context, diagnosis, tension or direction, and a thick document is often just a thin decision wearing a coat.

They work best conversationally, in the room, while the choices are still reversible. Used as a written review after approval, they mostly generate defensiveness, and defensiveness is not a finding.

If a draft keeps failing, the cause is rarely insufficient content. It is almost always an unmade decision.

Northgate at the Gates

The first draft passed Gates 1, 2 and 3, and failed Gate 4 outright. Its direction read: grow the branded business while protecting the own-label relationship.

Both halves are sensible. Nothing is excluded. Nobody objected, which should have been the warning, because nobody in the room lost anything.

The redraft put the exclusivity refusal in its place, and the commercial director objected for two hours. That is what Gate 4 passing looks like from inside the room, and it is not comfortable.

The live version runs the ten gates on your own draft, marks the first to fail, and saves the review to a file you can reopen or export to Word.

STRATEGY GATE REVIEW

1	Has context shaped this?	☐ Pass	☐ Fail
2	Is the diagnosis specific and credible?	☐ Pass	☐ Fail
3	Is the tension visible, and correctly classified?	☐ Pass	☐ Fail
4	Has direction been chosen?	☐ Pass	☐ Fail
5	Can somebody else use it as a governing rule?	☐ Pass	☐ Fail
6	Has the boundary held?	☐ Pass	☐ Fail
7	Does it survive stress, and say how it changes?	☐ Pass	☐ Fail
8	Are both clocks declared?	☐ Pass	☐ Fail
9	Is the organisation entitled to do this, and who says so?	☐ Pass	☐ Fail
10	Can it be stated plainly?	☐ Pass	☐ Fail



Double-click the paperclip to open the live version

Opens in Adobe Acrobat Reader. Allow it when Acrobat asks. Save to a file before you close it.

Part Five: Implementation, Using SMEAC

A strategy that cannot be handed over is an opinion.

This is where most frameworks lose their shape. The handover document is usually built around workstreams, and a workstream cannot tell anybody what to do when two of them conflict. Which is the only moment the handover was needed.

For that problem, I borrow SMEAC.

SMEAC is a five-part operations-order format: Situation, Mission, Execution, Administration and Logistics, Command and Signal. It comes from military command, where a decision made in one place has to be carried out elsewhere, often by people who cannot stop and ask what the author intended.

That is the design constraint worth borrowing. Not the hierarchy, the language or any claim that an organisation is a military unit. The useful principle is simpler: people need enough shared understanding of the situation, the purpose, the limits and the authority to act when the plan no longer fits.

A strategy faces the same problem once it leaves the room. The people implementing it will encounter conditions the authors did not see. They will face conflicts between objectives, pressure on resources and decisions that cannot wait for the next steering meeting. If the strategy gives them only a list of work, they will have to invent its meaning at the point of pressure.

SMEAC gives the handover a shape. Situation establishes what is true. Mission states the purpose. Execution turns the strategic HOW into priorities, decision rules and coordinated action. Administration and Logistics makes clear what the effort can run on. Command and Signal names who decides, who accepts the residual consequence, how the work is reviewed, and what should be escalated.

Two things make it particularly useful here. Execution names a main effort, which brings priority and exclusion into the open. Command and Signal names who decides and who accepts the consequence, which corporate strategy documents leave conspicuously blank.

It is not a substitute for strategy. It is the format through which a strategy becomes usable by people who did not write it.

S. Situation

What the world looks like, honestly, before anything is asked of anybody.

Situation holds the diagnosis. Conditions as they are. Who else is acting on the same ground, and what they are likely to do next. Own position, capability and constraints. The structural tension, named and classified. Anything already settled externally, so nobody reopens it. And any disagreement inside the group that was recorded rather than resolved.

The military format separates opposing forces, friendly forces, and attachments or detachments. The civilian reading sits close enough to use directly: who is acting against the intent, who is acting with it, and who has been lent to the effort and can be taken back.

Situation refuses aspiration. This is the place for the problem, not the ambition. A Situation section that reads well is usually wrong.

M. Mission

One paragraph. What the organisation is going to do, and why.

Mission holds the direction in a single sentence that survives being read aloud. Who is acting, what they will do, when and where it matters, and the purpose that follows “in order to”.

It refuses everything else. If the Mission needs a second paragraph, the direction has not been chosen.

The purpose clause carries most of the weight, and it is the part civilians drop first. When circumstances change and the stated task stops making sense, people act on the purpose instead. That is the whole mechanism. It lets people depart from the plan without departing from the intent, and no amount of detail elsewhere substitutes for it.

Northgate, Mission:

Northgate will hold own-label at or below sixty-five per cent of line hours and build branded distribution in foodservice and symbol-group convenience over the next eighteen months, in order to reach a position where the loss of any single retail customer is survivable.

E. Execution

The largest section, and the one that does the governing. Six things sit in it.

Intent: a short statement of the end state, so anybody can reason towards it when the plan breaks.

Concept of operations: how the strategic approach will work in practice: its sequence, its phases, and what has to be true before each phase starts.

Main effort: the one thing resourced first when there is not enough to go round.

Tasks: by team, each carrying the purpose behind it rather than the instruction alone.

Coordinating instructions: the rules governing the joints between teams, which is where delivery actually fails.

Decision rules: the standing answers to conflicts you can anticipate. Writing them down in advance is what stops the strategy being renegotiated under pressure by whoever happens to be in the room that afternoon.

Execution refuses solutions the strategy did not choose. It sequences and resources a chosen direction. It does not get to pick a different one.

Main effort deserves the emphasis. Most strategy documents spread priority evenly across every objective, which is another way of setting no priority at all. A main effort says what wins when resources are short, and naming it is Condition 4 made operational.

Northgate, Execution, extracted:

- Main effort: foodservice distribution. It gets the commercial headcount first, and it gets factory capacity first when capacity is contested.
- Decision rule: where a branded order and an own-label order compete for the same line hours, the branded order takes priority up to thirty-five per cent of weekly line hours and no further. Beyond that, own-label wins and the branded order is declined rather than deferred.
- Decision rule: no contract carrying category exclusivity is signed, whatever volume is attached. Not delegated, not negotiable at commercial level.
- Decision rule: no proposal that funds this transition through redundancies is developed, costed or tabled. The family's public commitment is not the managing director's to spend. This rule exists for the month when somebody proposes it with good numbers, because somebody will.

A. Administration and Logistics

What the effort runs on. Budget and where it comes from. People, and what they stop doing in order to do this. Information, systems and access. Third parties. What happens to the routine work previously done by the people now assigned here.

It refuses optimism. This is the section where a strategy is usually discovered to be undeliverable, and discovering it here costs an afternoon rather than a year.

One test I keep coming back to: if nothing in the organisation stops to make room for this, the organisation has not committed to it. It has added it. And added work is the first thing abandoned the moment pressure arrives.

C. Command and Signal

Who decides, and how anybody finds out.

Command and Signal holds decision rights: who decides what, at which threshold. It holds the risk owner, a named person who accepts the residual consequence. It has to be a person rather than a committee, because a committee cannot be accountable, only present.

It holds the permission holder, named separately, because that is a different seat and only accidentally the same human being. It holds escalation: what forces a decision upward and how quickly. It holds reporting: what goes to whom, how often, and what triggers a report outside the cycle. It holds the review trigger from Gate 8. And it holds succession: who carries the intent when the named people are not there.

It refuses ambiguity about accountability. Where nobody is named, the strategy has no owner, and an unowned strategy gets quietly renegotiated by whoever is under the most pressure.

One more thing belongs here, and it is the uncomfortable one.

A strategy governs behaviour only if people know it. Anything people know can be read by whoever is competing with you. A written exclusion tells an opponent precisely where your floor is, and they will price everything else against it. Northgate's refusal of exclusivity, circulated widely enough, is a gift to the buyer who now knows the one term that will not be traded.

So Command and Signal says what is circulated in full, what is circulated as intent without its limits, and what stays with the named seats. That is not secrecy for its own sake, and it is not an excuse to keep the strategy vague. It is recognition that the strategy is itself observable, which most documents like this quietly assume it is not.

How the Decision Note Becomes the Order

The decision note and SMEAC are not two instruments. The note is the decision. The order is what follows from it. Describe the same thing twice in different vocabulary and teams will build both and reconcile neither.

Decision-note field	Where it lands
What bears on it; settled and unsettled findings; confidence and durability	Situation
The decision, intent and recommendation	Mission
The strategic HOW	Execution, as intent and concept of operations
Constraints, exclusions and permission limits	Execution, as main effort and decision rules
Decision horizon	Closes when the decision is taken; the order does not carry it forward
Review trigger	Command and Signal
Who recommends, decides, accepts, permits, implements and reviews	Command and Signal
If nothing is decided	Nowhere. If the order exists, something was decided

The note is authoritative on what was chosen and by whom. The order is authoritative on what happens next. When the two disagree later, and they will, the note governs, because it carries the reasoning and the order only carries the arrangement.

Rehearse Before You Publish

SMEAC works in the military for a reason people borrowing it tend to miss. Everyone receiving it has been drilled in the format for years and shares a body of doctrine. The format is a handle on a shared pattern library. It is not the mechanism.

Hand it to an organisation with no equivalent and it becomes a template to be filled in. The purpose clause turns into decoration. The main effort quietly becomes three main efforts by the second draft. The decision rules cover only the conflicts somebody happened to think of on the day.

The fix costs an afternoon and almost nobody does it. Before the strategy goes live, run one session where you break the plan on purpose, and give the people who would have to respond nothing but the Mission and its purpose clause.

Present something the decision rules do not cover. Northgate's would be the buyer offering a twenty per cent volume uplift conditional on three-year category exclusivity, arriving two weeks before negotiation opens, with the managing director unreachable.

Then sit back and watch.

Whatever they decide in that room is the real strategy.

Three things usually fall out of it. A decision rule nobody had written. A purpose clause that turns out to be unusable under pressure. And the name of the person who will actually be making this call, who is frequently not the person on the org chart.

The alternative is finding out the same three things eleven months later, in public, with a buyer in the room.

Why This and Not a Workstream Plan

A workstream plan answers what is being done. SMEAC answers what to do when the plan stops fitting, which is the situation strategy exists for in the first place.

The two are not competitors. The plan sits inside Execution, under tasks and phasing. What the format adds is everything around the plan that makes it interpretable when conditions change: the diagnosis it was built on, the purpose behind each task, the priority when resources run short, and the name of the person who can change any of it.

Part Six: Holding the Line

A strategy is only a decision on the day it is approved. After that, it is a discipline.

The work is not to preserve every word. It is to preserve the intent, exclusions and authority that made the strategy a strategy in the first place, while remaining alert to evidence that makes those choices wrong.

The Boundary

The transition from strategy to delivery should be a moment, not a slope. After it, intent is a fixed reference point.

Fixed does not mean permanent. It means that delivery cannot revise intent, direction or exclusion by convenience. It can adapt the route, solve the problems in front of it and improve the work. It cannot quietly decide that the destination no longer matters.

Where delivery finds an edge genuinely wrong, that goes back through the framework as a strategic change. The adviser recommends it. The decision-maker decides it. The risk owner accepts the residual consequence. The permission holder is involved where the change requires permission. Then it is recorded.

What it must not do is move quietly.

Shelf Life

Every strategy states the conditions under which it gets reopened, and what change would force that sooner. A sound direction with no shelf life ages inside an authoritative-looking document, and the first sign of trouble is usually the failure rather than the review.

A review trigger has a limit worth knowing. It watches the variables you already knew to watch, which makes it a tripwire on the expected. Useful, and not sufficient.

So add a second and harder discipline, and give it to somebody by name.

Their task is to ask: what would make the original diagnosis false? What development outside these measures would change the asset, the opposition, the permission or the tension itself? What evidence are we not collecting because we do not yet know to look for it?

The point is not to predict every surprise. It is to stop the organisation mistaking the monitoring of known variables for attention to the world.

The review trigger protects the strategy against the changes it anticipated. This second discipline is the best available protection against the change that makes the original diagnosis wrong.

Evolve, Do Not Erode

Strategy evolves when the diagnosis changes and the direction is deliberately revisited. It erodes when exceptions accumulate, each one reasonable on its own, none of them recorded, until the direction nobody formally changed is no longer governing anything.

The difference is whether the change was decided or absorbed.

Audit that directly. At intervals set by the strategy's durability, list what has been done that the strategy excluded, and ask four questions of each exception:

- What was allowed?
- Why was it allowed?
- Who decided?
- Does the exception expose a strategic change that should now be made openly?

In a stable environment, this may be an annual exercise. In an environment with an adaptive opponent, it may need to happen quarterly, monthly or whenever a named trigger is crossed.

The list is usually short. It is always instructive.

Do not read erosion as carelessness, though, because that leads to the wrong fix.

Erosion is the crux reasserting itself.

The exclusion that cost somebody something at the point of decision goes on costing them every week afterwards. They go on having reasons, and each reason is good. Expect that, and build the review to catch the pattern, rather than judging each exception on its merits as it arrives.

Judged one at a time, every one of them will be approved.

A Last Test

Six months after approval, find somebody who makes decisions in the strategy's shadow. Not the author, not the sponsor and not somebody who was in the room. Find the person who has to act when the priorities collide.

Ask them one question:

What does this strategy tell you not to do?

If they can answer, you have evidence that the framework has travelled.

If they cannot, what you wrote was a description. The real strategy is being made somewhere else in the building, by whoever is under the most pressure that week, and nobody wrote it down.

The Eight Moments

The four layers are the order of the questions. The eight moments are the places in the work, each with a conversation attached. The full question sets are in Annexure C.

Moment	What happens	Where it sits
M1 Before you start	Establish that this is a strategic question, and name the three seats	Part One
M2 Diagnosis	Why is this hard here, and why has the obvious answer not been taken	Conditions 1, 2 and 6
M3 Tension and direction	Name the tension, classify it, choose, rule something out, and say how	Conditions 3, 4 and 5; Part Three
M4 The test	The ten gates, in order, on the draft as it stands	Part Four
M5 The handover	The decision note, on one page	Part Three
M6 The order	Situation, mission, execution, administration, command	Part Five
M7 The rehearsal	Break the plan on purpose before it goes live	Part Five
M8 The review	What has been done that the strategy excluded, who decided it, and what would make the diagnosis false	Part Six

Use them in whatever order the work arrives in. You will rarely start at the beginning. A choice already made can be entered at M4, and a strategy somebody else wrote can be entered at M8.

Embedding

Moving from one person using this on one problem to an organisation that decides this way as a matter of course. Five stages, and they are sequential for a reason: each one is unstable without the one before it.

Adoption: One Real Decision First

Do not launch this. Take one live, genuinely difficult decision and run it through, end to end, with the decision note written at the end of it.

A method introduced as a policy is judged as overhead. A method that visibly settled an argument nobody could settle is judged on the argument it settled. The second spreads and the first does not.

The candidate to pick is one where the tension is obvious to everybody and the choice has been deferred at least twice.

Governance: Deciding Where the Note Lives

A decision note nobody can find is a decision that will be rebuilt from memory.

Three questions settle this. Where is a decision note stored, and can somebody who was not involved retrieve it in under a minute? Who is named on it, and is the permission holder named separately from the risk owner? And what forces a note to exist at all: which decisions are significant enough that proceeding without one is a governance failure rather than a style preference?

The last question is the one with teeth. Answer it too broadly and the method becomes paperwork. Answer it too narrowly and the decisions that needed it most will be the ones that skipped it.

Assurance: Rehearsal Before Publication

The rehearsal in Part Five is the assurance step, and it is the one organisations skip because the strategy already looks finished.

Make it a condition of publication rather than a good intention. No strategy goes live until somebody has broken it on purpose and the people who would respond have worked from the Mission alone.

Choosing the scenario takes more thought than it sounds. The tempting scenario is usually one the decision rules already answer. Check it against each rule in turn before using it.

Capability: What People Have to Be Able to Do

Four capabilities, in rough order of how hard they are to build.

Naming a tension without resolving it in the same breath. Most people reach for the resolution immediately, and the tension disappears before it has been looked at.

Distinguishing description from explanation from estimate, in their own writing, while writing it.

Stating an exclusion in a room containing the person it costs. This is a nerve rather than a skill, and it is built by watching somebody senior do it first.

Reasoning from a purpose clause when the plan no longer fits. This is the one the rehearsal builds and nothing else does.

Maturity: What Good Looks Like Later

Maturity here is not a scoring model. It is a set of observable conditions, and the honest way to use them is to ask which are true today.

- Significant decisions have a decision note, and people know where to find it
- The permission holder is named separately from the risk owner as a matter of routine
- Disagreement gets recorded rather than averaged
- Findings are marked settled or unsettled without being asked
- Exclusions survive their first serious challenge
- Somebody is named to ask what would make the diagnosis false, and does
- The erosion audit produces a short list rather than a long one
- Somebody who was never in the room can say what the strategy tells them not to do

The last one is the only test that matters, and it is the one to run first.

Terminology

Words used precisely in this Companion, and what they are being held to mean.

Term	Meaning here
Strategy	The deliberate articulation of intent that governs how decisions are made when legitimate objectives pull in different directions
Intent	The specific condition an organisation is trying to bring about, clear enough to guide a choice and to test whether it is working
Strategic process	The work of reaching and testing the decisions: diagnosis, analysis, argument and judgement
Tactics	The programmes, budgets, projects and changes that carry the decisions into the world
Strategic HOW	The mechanism by which the intent will be achieved: the capabilities, operating choices, routes, structures and principles of allocation that must hold. Not a delivery plan
Delivery	The work of turning direction into action inside the edges the strategy has drawn
Condition	One of seven things that must be true of a choice for it to count as strategy
Gate	One of ten tests applied to a draft before approval. Each traces to a principle; the tenth tests expression rather than substance
Moment	One of eight places in the work, each with a question set. M1 to M8
Puzzle, dilemma, trade-off, paradox	The four kinds of tension, each wanting a different response
Structural tension	The tension the others hang from. Settle it and the rest move with it
Operational constraint	What is practically achievable: cost, time, capability, infrastructure, people
Legitimacy constraint	What is acceptable: law, consent, ethics, public expectation, commitments already made
Adviser	Owns the advice: diagnosis, tension, recommended direction, and what each option costs

Term	Meaning here
Risk owner	Accepts the residual consequence. A named person, never a committee
Permission holder	Says whether the organisation may act at all. Frequently outside the organisation
Exclusion	What will not be pursued. The point at which direction becomes visible
Description, explanation, estimate	The three kinds of claim: what is, why, and what comes next
Confidence	How well founded a finding is. Independent of durability
Durability	How long a finding or a direction stays true
Settled / unsettled	Whether a finding has an answer that exists, or turns on a decision nobody has taken
Decision horizon	How long before the decision must be made, set by whatever is moving against you
Decision note	The one-page handover, written for the person who decides
Main effort	The one thing resourced first when there is not enough to go round
Decision rule	A standing answer, written in advance, to a conflict that can be anticipated
Review trigger	The named change that reopens the strategy, and what would force it sooner
Erosion	The accumulation of reasonable, unrecorded exceptions until a direction no longer governs

Annexure A: The Decision Note

One page. Written for the person who decides. Reproduce this as a single side.

Field	Enter
The decision	
The intent	
The recommendation	
The strategic HOW	
What bears on it (mark each settled or unsettled)	
Confidence and durability	
Decision horizon, and what closes the window	
If nothing is decided	
Review trigger	
Recommends	
Decides	
Accepts the consequence	
Grants permission	
Implements	
Reviews	

Notes on completion.

The decision is a choice, not a topic. "Whether to accept the clause" is a decision. "The renewal" is a topic.

The strategic HOW names the mechanism, not the project. If it could be handed straight to a project manager as a work plan, it has slipped into delivery.

What bears on it holds two or three findings, not the assessment. Mark each one settled or unsettled, and resist the pull to mark an unsettled one settled because a settled neighbour sits next to it in the same sentence.

If nothing is decided is the field people skip and the one that most often changes the answer, because deferral is a decision and is rarely presented as one.

Annexure B: The Gate Review

Ten gates, applied in order before approval. Where a draft fails early, return to intent rather than adding content.

Gate	Pass when	Tests
1 Context	The strategy could not be lifted into another organisation and still read as sensible	Condition 1
2 Diagnosis	The core problem is explicit and explains why the obvious answer has not been taken	Conditions 2 and 6
3 Tension	At least one unavoidable tension is stated and its kind is named	Condition 3
4 Direction	Something is ruled out, and you can name who loses by it	Condition 4
5 Governing rule	Somebody who was not in the room can use it to decide under pressure	Condition 4, made usable
6 Boundary	The strategic HOW is stated without becoming a project plan	Strategic HOW and delivery
7 Stress	The direction holds under pressure, and says what evidence would reopen it	Condition 7
8 Clocks	Shelf life and horizon are both stated, the horizon set by what is moving	Confidence, durability, horizon
9 Entitlement	Permission is named, and the internal and external accounts match	Condition 5
10 Plain statement	Intent, problem, tension, direction, how, exclusion and who said we may, without a preamble	Expression, not substance

The hardest to spot is Gate 3. A paradox resolved by picking a pole reads as decisive while having discarded something the organisation cannot do without.

Where a gate has no principle behind it, it is a preference dressed as a test. Where a principle has no gate, it goes unchecked.

Record three things when a draft fails: which gate failed first, what that says is missing, and what the room is going back to. The field tool has a box for each; the live version is at the end of Part Four.

Annexure C: The Eight Moments

Questions to ask out loud, in the room, while the answer can still change.

M1. Before you start

- Is this a strategic question, or a budget question wearing a strategic coat?
- Can you name a second objective, equally legitimate, pulling against the first? If not, stop. This may be a business case, and business cases are a different and easier job.
- Is there something out there watching what we choose and adapting to it?
- What condition are we trying to bring about? Could it guide a choice, or is it an aspiration?
- Who accepts the residual consequence, by name?
- Who grants permission, and are they inside or outside the organisation?
- Who is advising, and are they a different person from those two?
- Will the risk owner convene this themselves? If not, why not, and what does that tell you?
- Can everybody in the room lose something? Who cannot?

M2. Diagnosis

- What makes this hard here that would not be hard somewhere else?
- Could a competitor write our problem statement about themselves, word for word?
- What is the asset? Not what we value most. What the whole thing depends on.
- Who is the opposition, realistically, and what do they want?
- Which consequence actually matters if this goes wrong?
- Why has the obvious answer not already been taken?
- Who would have to lose something for it to be taken?
- What kind of question is each one: does it have an answer that exists now, or does it turn on a decision nobody has taken?
- For each finding: is this description, explanation or estimate?
- For each finding: settled or unsettled, and what are its confidence and its durability?
- What have we assumed without a source, and is it marked as an assumption in the document itself?
- Where do two of us read this differently, and is that written down rather than averaged away?

M3. Tension and direction

- Which legitimate objectives are pulling against each other?
- Are both genuinely good things, or is one a bad habit with a defender?
- Which kind is it: puzzle, dilemma, trade-off or paradox?
- If a paradox, what would collapse it into one pole, and have we excluded that rather than choosing a side?
- Has this tension already been settled outside the organisation?

- What are we ruling out?
- Who loses by that, by name?
- Did anybody object? If nobody objected, what have we actually excluded?
- What is the strategic HOW: which capabilities, operating choices and allocations must hold?
- Is that a mechanism, or has it already become a project plan?
- Could somebody who was not in this room apply this next March, under pressure, without ringing us?
- What may we not do, whatever we decide?
- Who grants that permission, and would they recognise our account of what we are doing?

M4. The test

- Run Gates 1 to 10 in order, on the draft as it stands
- Where it failed early, have we gone back to intent rather than adding content?
- If it keeps failing, which decision has not been made?

M5. The handover

- Is the decision written as a choice, not a topic?
- Is the intent a condition, not an aspiration?
- Does the recommendation say why this level rather than less or more?
- Is the strategic HOW a mechanism rather than a work plan?
- Are the two or three findings that change the answer separated from the rest?
- Is each one marked settled or unsettled?
- Are confidence and durability both declared, and allowed to differ?
- Which clock is binding, ours or theirs?
- What follows from deferral, and has anybody said it out loud?
- Are all six named: recommends, decides, accepts, permits, implements, reviews?
- Does it fit on one page? Actually one page.

M6. The order

- Does the Situation hold the problem and no ambition at all?
- Does it say who is acting against the intent, who with it, and who has been lent and can be taken back?
- Does the Mission fit in one paragraph and survive being read aloud?
- Is there an "in order to", and does it still make sense if the task becomes impossible?
- Is there one main effort, or has it quietly become three?
- What are the decision rules for the conflicts we can already see coming?
- Is there a rule for what permission forbids?
- Does anything stop, to make room for this?
- Is the risk owner named, as a person rather than a committee?

- Is the permission holder named separately?
- Who carries the intent if the named people are not there?
- What circulates in full, what circulates as intent without its limits, and what stays with the named seats?

M7. The rehearsal

- Is there a date for this, before go-live rather than after?
- Are the people in the room the ones who would actually have to respond?
- Have they been given the Mission and its purpose clause, and nothing else?
- Is the scenario genuinely outside the decision rules? Check it against each rule in turn.
- What did they decide?
- Which decision rule turned out to be missing?
- Did the purpose clause survive contact, or was it decoration?
- Who actually made the call, and is that the person on the org chart?

M8. The review

- What has been done since the last review that the strategy excluded?
- For each: what was allowed, why, and who decided?
- For each: was it decided, or absorbed?
- Does any exception expose a strategic change that should now be made openly?
- Has the diagnosis changed, or only the pressure?
- Is the direction still permitted, or has something moved underneath it?
- Who is named to ask what would make the diagnosis false, and what have they found?
- Ask somebody who was never in the room: what does this strategy tell you not to do?
- Could they answer?

Annexure D: The Order

What each paragraph holds, and what it refuses.

Situation

Holds the diagnosis and conditions as they are: who is acting against the intent, who with it, and who has been lent and can be taken back; own position and constraints; the tension named and classified; anything settled externally; and any disagreement recorded rather than resolved.

Refuses aspiration. This is the place for the problem, not the ambition. A Situation section that reads well is usually wrong.

Mission

One paragraph. Who, what, when, where, and the purpose that follows "in order to".

Refuses everything else. If the Mission needs a second paragraph, the direction has not been chosen. When the stated task stops making sense, people act on the purpose instead.

Execution

Six things: the intent anybody can reason towards when the plan breaks; the concept of operations and its phases; the main effort, resourced first; tasks by team, each carrying its purpose; coordinating instructions for the joints between teams; and decision rules for the conflicts you can anticipate.

Refuses solutions the strategy did not choose. Execution sequences and resources a chosen direction. It does not get to pick a different one.

Administration and Logistics

Budget and its source. People, and what they stop doing in order to do this. Information, systems and access. Third parties. What happens to the routine work previously done by the people now assigned.

Refuses optimism. If nothing stops to make room, the organisation has added this rather than committed to it.

Command and Signal

Decision rights and thresholds. The risk owner, a named person, and the permission holder, named separately. Escalation, reporting, the review trigger, and succession: who carries the intent when the named people are not there. Circulation: what goes out in full, what goes out as intent without its limits, and what stays with the named seats, because a written exclusion tells an opponent where your floor is.

Refuses ambiguity about accountability. Where nobody is named, the strategy has no owner, and an unowned strategy gets renegotiated by whoever is under the most pressure.

Annexure E: The Erosion Audit

One page, run at intervals set by the strategy's durability. A strategy is not abandoned. It is eroded, one reasonable exception at a time.

What was allowed that the strategy excluded	Why it was allowed	Who decided	Does it expose a change to make openly?

Then three questions about the pattern rather than the entries.

- Has the diagnosis changed, or has only the pressure changed?
- Is the direction still permitted, or has something moved underneath it?
- What would make the original diagnosis false, and who is looking for it?

Do not read erosion as carelessness, because that leads to the wrong fix. The exclusion that cost somebody something at the point of decision goes on costing them every week afterwards. They go on having reasons, and each reason is good.

Judged one at a time, every exception will be approved. That is why the audit looks at the list rather than the entries.

Further Reading

- Richard Rumelt, *Good Strategy/Bad Strategy* and *The Crux*
- Michael Porter, “What Is Strategy?”
- Henry Mintzberg, *The Rise and Fall of Strategic Planning*
- Bob de Wit and Ron Meyer, *Strategy: Process, Content, Context*
- SMEAC and the five-paragraph operations order
- Mission command and decentralised execution
- Gary Klein, “Performing a Project Premortem”

Contact and Continuation

This is the second Companion. One per lens of the decision-making series, and they are built to be used rather than admired.

Two field tools accompany it, each a single page designed to be printed and written on. The Strategy Decision Record compresses the method to five steps and the decision note to its boxes. The Strategy Gate Review runs the ten gates on a draft and records which one failed first.

Corrections, disagreements and accounts of what happened when you used this are all welcome, and the disagreements are the most useful. A method that has only been tested by the person who wrote it has not been tested.

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